O04 / OPERATING ENTRIES

Transfer funds and account for advances

Bookkeeping / Journal · Sub-user cash book · Fund allocation

Keep changes of cash location separate from spending and from money that must be returned.

01 **Transfer between company funds**

On the actual handover date debit the receiving fund and credit the releasing fund in the same currency. Keep both sides of a cash-to-bank transfer under one reference.

02 **Issue an advance**

Debit the designated employee advance/clearing account and credit the paying fund. Record recipient, purpose, due date, currency and approval. Check whether a petty-cash float already represents company cash.

03 **Liquidate the advance**

Match receipts to approved expenses or assets, credit the advance for the supported amount, and record returned cash against the balance. Keep unliquidated amounts against the named person.

04 **Track fund allocations**

Record approved limits or budget allocations in their own workflow. Post a journal only when cash moves, an obligation arises or an expense is supported. Tie a payroll recovery to the original advance.

Advance example · LAK

Issue 500,000. Receipts support 380,000 and the employee returns 120,000. The advance ledger shows a 500,000 debit and credits of 380,000 and 120,000.

Before you finish

Check both fund ledgers and the employee balance. A transfer, budget or repaid advance has no sales-income effect.